December drop in **Figure 70.4**. Price made tall swings after that, and it looked to be forming some kind of volatile base.

The extended V-bottom I chose to trade is A to B (the left side of the V) with a recovery up to C, and the extension drifting down to H. The left side of the V sees price drop 18%, so it's above the 15% minimum I like to see.

I admit that this extended V isn't typical. The extension (CH) is too far up the pattern. It should be located no higher than a third of the way up the left side. That's not a hard rule, though, just a guideline. I was more focused on the stock breaking out of the horizontal move (from December to June) rather than looking at this trade as an extended V. I used the extended V, as awful as it looked, as the buy signal. Maybe if the stock broke out upward from of its volatile up-and-down motion, it would form a straight-line run higher. Wouldn't that be nice?

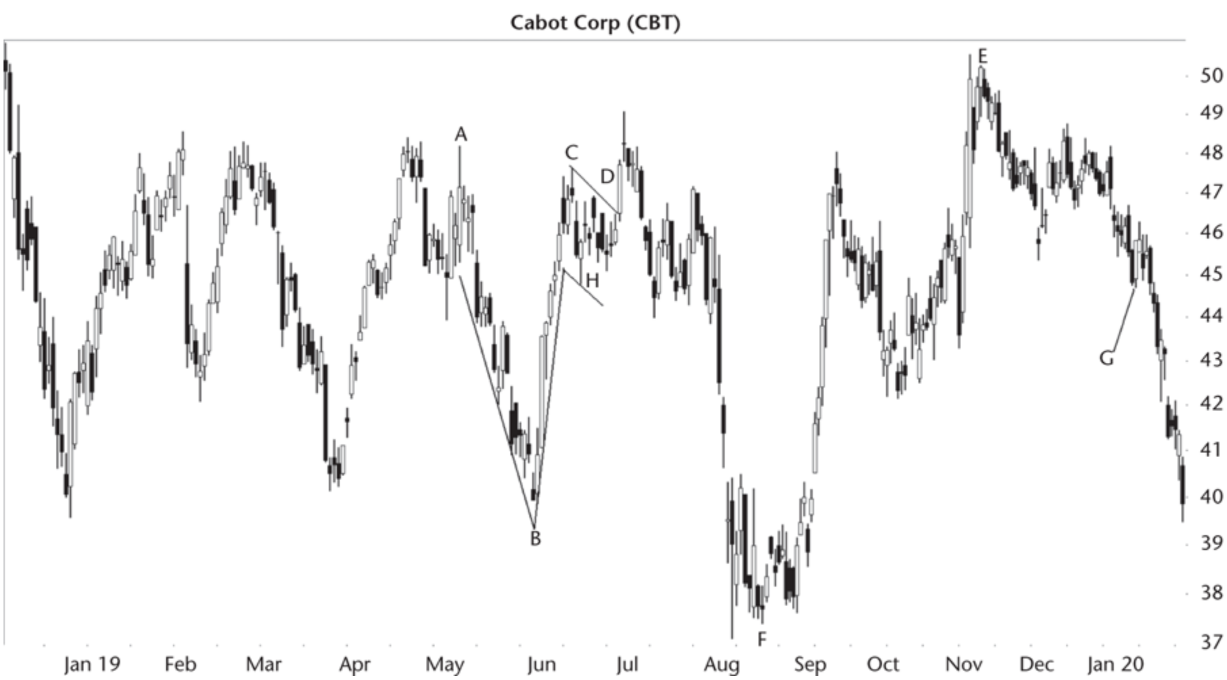

Figure 70.4 This extended V-bottom results in a two-losing and one-winning trade.

At D, I bought the stock as price broke out upward from the extension. The next day price peaked, and then, well, it fell apart.

The recommended position size calculated by my computer was well below a full position (based on volatility of the stock and the general market), and I took half of that, so the result was one-third the maximum size.